LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

WHAT IS BILL-TO-BILL STRUCTURES?

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Chapter 1: Product Overview & Core Concepts of Bill-to-Bill Structures

Bill-to-Bill Structures (commonly termed Transaction-by-Transaction or Bill-by-Bill Financing) represent a specialized structural model in working capital finance, where credit lines are underwritten, disbursed, tracked, and liquidated on an individual invoice or trade bill basis rather than being lumped together into a generalized revolving account. Unlike traditional Cash Credit (CC) or general Overdraft (OD) facilities which fund a continuous, aggregated pool of inventory and debtors, Bill-to-Bill financing targets discrete, self-liquidating trade events.

Historically, trade finance in India has been heavily dominated by asset-backed lending, which disproportionately favored large corporate houses and marginalized Micro, Small, and Medium Enterprises (MSMEs) due to their lack of hard collateral. Bill-to-Bill structures emerged as a critical technological and structural solution to invert this paradigm. By focusing on the strength of the underlying transaction—such as the verified creditworthiness of the corporate buyer accepting the bill—financiers can extend immediate liquidity against verified receivables without demanding immovable property as collateral.

At its core, a Bill-to-Bill structure operates as a closed-loop transaction mechanism. Each advance is mapped directly to a specific purchase invoice, backed by a validated commercial trade event. When the underlying invoice reaches usance maturity, the buyer's payment does not enter the seller's general cash pool; instead, it is directly routed to a bank-controlled escrow account, instantly liquidating the exact principal and interest associated with that specific bill. This absolute isolation of transactions dramatically minimizes key credit and fraud risks.

> ★ *THE ROOT OF CASH ROTATION VELOCITY*
>
> *In Indian MSME clusters, the primary drag on profitability is not the cost of capital, but rather the length of the working capital cycle (often stretching past 90 to 120 days). Bill-to-Bill structures act as a high-velocity catalyst by releasing up to 90% of trade receivables into active cash within 24 to 48 hours of invoice acceptance. This transaction-backed liquidity allows the supplier to purchase raw materials and support production cycles without waiting for usance terms to expire.*

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Chapter 2: Comparative Credit Taxonomy – Bill-to-Bill vs. Revolving Facilities

To master commercial credit risk underwriting in India, rookies must be able to cleanly differentiate between transaction-backed Bill-to-Bill systems and generalized revolving cash limits. A common pitfall is to confuse Bill-to-Bill discounting with traditional bill discounting under a revolving Cash Credit facility. In a CC limit, bills of exchange are occasionally submitted to fulfill drawing power assessments, but the funds are mixed into a single revolving credit ledger with no invoice-by-invoice maturity or direct repayment allocation.

The following taxonomy table establishes a rigorous comparison between Bill-to-Bill structures, revolving Cash Credit (CC) accounts, and standard open account factoring:

Credit Dimension	Bill-to-Bill Structures	Revolving Cash Credit (CC)	Open Account Factoring
Disbursal Mechanism	Standalone per validated invoice tranche.	Lump-sum revolving limit up to Sanction Limit.	Continuous invoice batch-purchases.
Security Basis	Section 130 legal assignment of a specific invoice.	General hypothecation of moving stock and debtors.	Bulk assignment of trade receivables ledger.
Repayment / Liquidation	Buyer remittance directly settles specific bill tranche.	Revolving daily credits; no bill-specific maturity.	Lump-sum debtor clears overall ledger balance.
Interest Basis	Discount/interest deducted upfront on bill value.	Daily reducing balance debited monthly.	Daily compounding interest on overall drawing balance.
Risk Assessment	Strength of Anchor credit + transaction validation.	Borrower's historical balance sheet + physical inventory.	Bulk buyer collection performance + supplier dilution.
CERSAI Filing	Mandatory registration of charge per invoice (10 days).	One-time registration of charge over entire book debt.	Batch registration of assigned invoices.

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Chapter 3: How the Product Structure Works: The Transactional End-to-End Lifecycle

The operational success of Bill-to-Bill Structures lies in the absolute precision of its transactional lifecycle. Every invoice represents an independent financial asset, which must navigate five distinct phases to achieve risk-free liquidation. In a typical bank or NBFC supply chain program, these workflows are fully digitized and integrated into the Corporate Anchor's ERP or trade portals like TReDS.

The following flowchart table outlines the complete end-to-end lifecycle of a Bill-to-Bill transaction, tracing commercial actions to bank ledger events:

Phase	Physical / Commercial Action	Bank / Financier Ledger Event
Phase I: Creation	Supplier delivers goods to the corporate buyer. Supplier uploads the invoice onto the TReDS platform or the bank's portal, backed by a custom Bill of Lading, Lorry Receipt (LR), or packing list.	The bank's platform verifies the invoice data against the GST Network (GSTN) using automated APIs, checking GSTR-1 filings to ensure a valid trade transaction.
Phase II: Accept	The corporate buyer logs onto the platform, reviews the invoice, matches it with their internal Purchase Order (PO) and Goods Receipt Note (GRN), and records their formal digital acceptance of the invoice.	The accepted invoice is transformed into a 'legally binding accepted trade receivable'. The system calculates the credit-arbitrage interest rate based on the buyer's credit rating.
Phase III: Bidding	Financiers (banks, NBFCs) on the platform view the accepted invoice and place competitive interest rate bids to buy the bill.	Automated matching engines select the lowest bidding interest rate. The system freezes the transaction and generates a Digital Factoring Agreement under the Factoring Act.

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Phase IV: Disburse	The supplier receives early cash (typically 90% of the invoice face value) directly into their linked bank account, bypasses long usance terms.	The financier debits their treasury line, advances the 90% principal (less upfront discount/interest and processing fees), and places the remaining 10% in a Margin Reserve Account.
Phase V: Pay	On the invoice usance maturity date (e.g., Day 90), the corporate buyer initiates a direct payment through the platform's auto-clearing systems.	The financier receives the 100% face value, retires the advanced 90% principal, adjusts any interest overruns, and automatically sweeps the 10% Margin Reserve back to the supplier.

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Chapter 4: Underwriting Standards, Eligibility Criteria & Financial Ratios

A fundamental concept for rookies to comprehend is that Bill-to-Bill structures shift the underwriting focus away from the borrowing supplier's asset base and toward the transaction quality and buyer's credit strength. However, banks and NBFCs still enforce rigorous eligibility filters on both the supplier (borrower) and the corporate Anchor (payer) to protect against transaction-level defaults, fraudulent bill-rolling, and structural trade dilutions.

Supplier (Borrower) Eligibility Benchmarks

1. Business Vintage and Legal Status:
The supplier must operate as a registered Sole Proprietorship, Partnership, Private Limited, or Public Limited company with a minimum continuous business vintage of 2 years. Start-ups with high customer concentration must demonstrate a strong institutional lineage.

2. CIBIL and Credit Score Filters:
Exacting credit standards are applied. Individual promoter CIBIL scores must exceed 700. For corporate entities, the **CIBIL MSME Rank (CMR)** must fall between CMR-1 and CMR-4. Any historical report of a 'Willful Defaulter' or classification under RBI's caution lists triggers an immediate rejection.

3. GSTN Filing Compliance:
To validate actual tax compliance and sales velocity, the borrower must exhibit a seamless GSTR-1 and GSTR-3B filing history over the previous 12 months. Any mismatch between invoice submissions and GST portals is flag as a structural fraud risk.

Corporate Anchor (Payer) Eligibility Benchmarks

1. Corporate Size and Credit Rating:
The buying enterprise must possess an investment-grade external credit rating of **A- or higher (AA/AAA preferred)** issued by an RBI-accredited rating agency (such as CRISIL, ICRA, or CARE). Net worth must exceed ₹50 Crores, with a minimum annual sales turnover of ₹100 Crores.

2. Leverage and Liquidity Ratios:
The bank's credit officers appraise the Anchor's financial leverage, enforcing a Debt-to-Equity (D/E) ratio below 3:1. The Current Ratio must exceed the standard benchmark of 1.25:1, and the Interest Coverage Ratio must exceed 2.0x, ensuring ample liquidity to clear accepted bills.

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Chapter 5: Legal Framework, Security Mechanisms & Documentation Requirements

Although Bill-to-Bill Structures operate as flexible, digitally-driven credit tranches, they are built upon a rigorous legal and statutory bedrock. In India, any transaction where an invoice's cash receivables are transferred from a supplier to a financier must comply with precise statutory assignment laws to prevent fraud and ensure absolute seniority of the debt.

The Statutory Pillars: Section 130 and the Factoring Act

The ultimate legal transfer of trade debt is governed by **Section 130 of the Transfer of Property Act, 1882**, which regulates the assignment of 'actionable claims'. An actionable claim is a creditor's legal right to recover a debt. Under Section 130, the supplier executes a formal 'Letter of Assignment', transferring the ownership of the invoice receivables to the bank. This assignment is legally perfected only when a formal 'Notice of Assignment' is served on the corporate buyer.

To further standardize this market, the **Factoring Regulation Act, 2011** (and its pivotal **2021 Amendment Act**) expanded the definition of factors. The amendment removed restrictions that prevented major NBFCs from engaging in trade discounting, expanding the factoring ecosystem from a select few to over 9,000 eligible NBFCs. This expansion dramatically increased liquidity in the MSME sector.

The Double-Financing Shield: CERSAI Registration

A critical operational risk in trade finance is 'double-financing'—where a fraudulent supplier submits the identical invoice to multiple banks to secure duplicate funding. To eliminate this systemic risk, the Factoring Regulation Act mandates that every factoring or invoice discounting transaction must be registered with the **Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI)**.

Under current RBI directions, the financier must file the assignment of receivables on the CERSAI portal within a **strict 10-day statutory window** from the date of disbursal. This registration creates a public, searchable charge over that specific invoice. If a fraudulent supplier attempts to upload the identical invoice to another bank, the second bank's automated CERSAI check will immediately block the transaction.

> ★ *THE ROLE OF THE NON-DISPUTE COVENANT*
>
> *In a standard Bill-to-Bill tripartite agreement, the corporate buyer executes a crucial*

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> *'Non-Dispute Covenant'. Under this covenant, the buyer contractually waives their legal right to withhold payment to the bank due to supplier-level trade disputes (such as quality defects, delivery delays, or warranty claims). Once the buyer accepts the invoice, the debt is treated as an unconditional payment obligation, completely insulating the bank from supplier performance risk.*

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Chapter 6: Market Sizing, Suitable Industries & The TReDS Digital Platform Ecosystem

The market scale of transaction-backed Bill-to-Bill financing in India has witnessed exponential growth over the past decade, driven by digital infrastructure reforms and RBI mandate policies. The primary catalyst for this shift is the **Trade Receivables Discounting System (TReDS)**, an institutional digital mechanism authorized by the RBI under the Payment and Settlement Systems Act, 2007.

The TReDS Platform Ecosystem

TReDS platforms are digital exchanges that connect MSME suppliers, corporate buyers, and institutional financiers (banks, NBFCs) in a secure, unified portal. Today, three primary platforms dominate the Indian market:

• Receivables Exchange of India Limited (RXIL): A joint venture between SIDBI and the National Stock Exchange (NSE).
• M1xchange: Run by Mynd Solutions, a major private player with extensive API ERP integrations.
• Invoicemart: A joint venture between Axis Bank and Junction Services.

To drive institutional adoption, the Ministry of MSME issued a historic mandate in 2018, legally forcing all central public sector undertakings (CPSUs) and private corporates with an annual turnover exceeding **₹500 Crores** to onboard onto the TReDS platform. This regulatory nudge unlocked massive credit capacity, allowing MSMEs to discount bills at competitive institutional rates.

Suitable Industries and Business Profiles

Bill-to-Bill structures are not universally applicable; they are best suited for sectors with structured procurement cycles and long trade credit terms:

1. Consumer Electronics and Durables:
Driven by the Indian Government's Electronic Vision 2030 PLI scheme, the consumer durables and electronics ecosystem consists of small component makers supplying global OEMs. These suppliers utilize Bill-to-Bill structures to bridge 60-to-90-day trade payment gaps.

2. Automotive Components:
Auto component suppliers operate on tight margins, delivering highly customized parts to AAA-rated automakers.Because the auto manufacturers accept bills unconditional assembly-line inspection, the suppliers can easily discount these bills to unlock operational cash flow.

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Chapter 7: Commercial Mechanics, Pricing & Interest Calculation Models

A complete grasp of the pricing structures and commercial mechanics of Bill-to-Bill structures is essential for finance rookies. Because each bill is a standalone credit tranche, the pricing and interest are deducted upfront from the advanced amount. This is a crucial distinction: unlike term loans or cash credits where interest is billed monthly, Bill-to-Bill financing is priced as a *discount* on the invoice face value.

The Core Components of Bill-to-Bill Pricing

1. Standalone Discount Rate (ROI):
The interest rate applied to the bill. Under RBI guidelines, commercial banks link interest to external benchmarks (such as **MCLR** or **EBLR/Repo Rate**). Due to the credit arbitrage on TReDS, interest rates can be highly competitive—ranging from **6.5% to 8.5% p.a.** for AAA buyers.

2. Upfront Processing Fees:
Banks and NBFCs charge a small transaction processing fee to cover custom underwriting and portal administration costs (ranging from **0.05% to 0.15%** of the invoice value).

3. Goods and Services Tax (GST) Treatment:
Under Section 15 of the CGST Act, GST at **18%** is applied strictly to service charges (such as processing fees and administrative levies). The core interest or discount component remains **completely exempt from GST**, preserving the pricing structure for MSMEs.

> ★ *THE MATHEMATICAL REVENUE TRAP OF REVOLVING CC*
>
> *Many MSME promoters assume that a 9.5% revolving CC line is cheaper than an 8.5% upfront bill discount. What they fail to calculate is the cost of unused limits. In a CC account, banks often levy 'Commitment Charges' on the unutilized portion of the limit. If a business secures a ₹5 Crore limit but utilizes only ₹1 Crore, they are penalized on the remaining ₹4 Crore, dragging the effective cost of capital past 11%. Bill-to-Bill structures eliminate this leakage because the borrower pays interest *only* on the exact rupees advanced against active invoices.*

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Chapter 8: Regulatory Compliance, RBI Guidelines & Tax Disclosures

Because Bill-to-Bill structures involve transaction-specific disbursements, they are governed by a complex web of banking and corporate regulations. In India, both financiers and corporate treasurers must navigate strict guidelines to ensure trade compliance, balance sheet transparency, and borrower data protection.

RBI Income Recognition and Asset Classification (IRACP) Norms

Under the RBI Master Directions, every bill-to-bill advance is treated as an active credit exposure. If a corporate buyer defaults on payment, the transaction enters a strict regulatory countdown:

• Special Mention Account (SMA-0): The invoice remains unpaid for 1 to 30 days past its usance maturity date.
• Special Mention Account (SMA-1): The invoice remains unpaid for 31 to 60 days past maturity.
• Special Mention Account (SMA-2): The invoice remains unpaid for 61 to 90 days past maturity.
• Non-Performing Asset (NPA) Classification: If the invoice remains unpaid past a **strict 90-day window**, the entire outstanding bill tranche is legally classified as an NPA, forcing the financier to halt further disbursals to the supplier and initiate legal recovery.

RBI Digital Lending Directions & Data Sovereignty

When Bill-to-Bill programs are delivered through digital Supply Chain Finance (SCF) platforms, they must fully comply with the **RBI Digital Lending Directions**. These regulations require:

1. Default Loss Guarantee (DLG) Limits: Any risk-sharing or first-loss guarantee arrangement between the fintech platform and the bank is capped at a strict **5% of the total loan portfolio value**.
2. Direct Disbursal Mandate: Funds must flow directly from the bank's account to the supplier's verified bank account, bypassing any intermediate fintech pool accounts.
3. Data Sovereignty: All borrower data, trade records, and transaction histories must be stored on **local servers located inside the sovereign boundaries of India**.

Accounting Disclosures Under Ind AS

Under Indian Accounting Standards (**Ind AS 109** and the proposed amendments to **Ind AS 7 and Ind AS 107**), corporate Anchors must disclose the true nature of their supplier finance programs. If the bank provides non-recourse Bill-to-Bill structures to suppliers, the Anchor must disclose the aggregate outstanding balance of trade payables funded under the

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Chapter 9: Real-World Case Study (Mumbai Plastics Pvt. Ltd. - INR Math Scenario)

To bridge the gap between financial theory and commercial trade operations, we analyze a detailed mathematical scenario of a Mumbai-based packaging supplier (*Mumbai Plastics Pvt. Ltd.*) discounting a bulk usance invoice raised on a AAA corporate anchor (*Apex Chemical Industries India Ltd.*).

On November 1, 2026, Mumbai Plastics Pvt. Ltd. delivers raw packaging materials to Apex Chemical Industries. On the same day, they raise and submit a usance invoice of **₹20,00,000 (₹20 Lakhs)** with a usance tenure of **90 days**.

The Commercial Options Comparison

To optimize their working capital, Mumbai Plastics Pvt. Ltd. compares two distinct commercial routes:

• Option A: Capturing a **1.5% upfront Cash Discount** offered by Apex Chemical Industries for immediate cash payment on Day 2.
• Option B: Utilizing an **Anchor-Led Bill-to-Bill structure** on the RXIL TReDS platform, where a public sector bank offers to discount the accepted usance invoice at a highly competitive rate of **8.0% p.a. simple interest** (calculated on a 365-day basis). Under this option, the bank advances **90% of the invoice billing value** on Day 2, holds a **10% margin reserve**, and charges a **0.10% processing fee**.

Detailed Step-by-Step Mathematical Computations

Step 1: Compute Option A Cash Discount Value
Under the cash discount terms, Apex offers a 1.5% discount for immediate cash settlement on Day 2.
Cash Discount = Invoice Value * 1.5% = ₹20,00,000 * 0.015 = **₹30,00,000 (₹30,000)**.
Net Immediate Outflow from Apex to Mumbai Plastics = ₹20,00,000 - ₹30,000 = **₹19,70,000**.

Step 2: Compute Option B Bill-to-Bill Advanced Principal
Under the RXIL program terms, the bank advances a 90% loan component against the accepted usance invoice.
Advanced Principal (90%) = Invoice Value * 90% = ₹20,00,000 * 0.90 = **₹18,00,000**.
Margin Reserve Held (10%) = Invoice Value * 10% = ₹20,00,000 * 0.10 = **₹2,00,000**.

Step 3: Calculate Standalone Interest Expense on Option B
The bank discounts the advanced principal at 8.0% p.a. simple interest over the remaining

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90-day usance period.
Interest Expense = (Advanced Principal * ROI * Usance Days) / 365
Interest Expense = (₹18,00,000 * 8.0% * 90) / 365 = (₹18,00,000 * 0.08 * 90) / 365 = **₹35,507**.

Step 4: Calculate Processing Fees and GST Liability
The bank charges an upfront processing fee of 0.10% of the invoice billing value. GST at 18% is applied strictly to this service fee.
Bank Processing Fee = Invoice Value * 0.10% = ₹20,00,000 * 0.0010 = **₹2,000**.
GST on Processing Fee (18%) = ₹2,000 * 18% = **₹360**.
Total Fee and Tax Outflow = ₹2,000 + ₹360 = **₹2,360**.

Step 5: Compute Net Day 2 Cash Payout Disbursed to Supplier
The bank deducts the standalone interest expense, processing fee, and GST from the advanced principal to disburse the net Day 2 payout.
Net Upfront Disbursal = Advanced Principal - Interest Expense - Processing Fee - GST
Net Upfront Disbursal = ₹18,00,000 - ₹35,507 - ₹2,000 - ₹360 = **₹17,62,133**.

Step 6: Day 90 Final Maturity Settlement and Margin Release
On the usance maturity date (Day 90), Apex Chemical Industries remits the full invoice value of ₹20,00,000 to the bank's escrow account.
The bank receives ₹20,00,000, retires the advanced principal of ₹18,00,000, and releases the **₹2,00,000 Margin Reserve** back to Mumbai Plastics Pvt. Ltd.
Total Cumulative Cash Received by Supplier under Option B = Net Disbursal + Margin Released
Total Cumulative Cash Received = ₹17,62,133 + ₹2,00,000 = **₹19,62,133**.

The Strategic CFO Decision

By comparing the two paths, the CFO of Mumbai Plastics Pvt. Ltd. evaluates the exact trade-offs:
• Total Cost of Option A (Cash Discount): **₹30,000**.
• Total Cost of Option B (Bill-to-Bill Discounting): Interest (₹35,507) + Fees (₹2,000) + GST (₹360) = **₹37,867**.

★ RATIONALE: While Option A appears ₹7,867 cheaper on paper, Option B represents a massive strategic advantage. Under Option A, the company's cash remains locked in receivables until Apex chooses to initiate a manual payment cycle. Under Option B, the supplier secures **₹17,62,133 in immediate risk-free liquidity on Day 2**, enabling them to purchase raw packaging resins, accept new purchase orders, and scale their monthly production velocity.

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Chapter 10: Practice Examination (10 Scenario-Based Practice Modules with Rationales)

This chapter contains a rigorous, scenario-based practice examination designed specifically to evaluate a rookie's comprehension of Bill-to-Bill structures, statutory frameworks, underwriting standards, and mathematical computations. Practicing these modules will ensure absolute mastery over the subject.

Question 1 (Multiple Choice)

How does a Bill-to-Bill credit structure differ from a traditional revolving Cash Credit (CC) limit?

> *A) CC limits deduct interest upfront, whereas Bill-to-Bill lines charge interest on a daily reducing balance.*
> *B) Bill-to-Bill advances are underwritten and liquidated on an individual invoice basis, whereas CC limits are general, revolving cash pools assessed against overall stock.*
> *C) CC limits require CERSAI registration within 10 days of each invoice transaction, whereas Bill-to-Bill structures require only one-time CERSAI filing.*
> *D) Bill-to-Bill structures are exempt from RBI IRACP asset classification norms, whereas CC lines are not.*
>
> ★ *Correct Option: B*
>
> ★ *Rationale & Analysis:*
> *The defining characteristic of Bill-to-Bill structures is the isolated, transaction-backed nature of each advance. Unlike Cash Credit accounts where all current assets are hypothecated into a single revolving pool, Bill-to-Bill structures tie each disbursal and subsequent repayment to a specific, validated trade invoice.*

Question 2 (Multiple Choice)

Under the Factoring Regulation Act, 2011 (including the 2021 Amendments), what is the statutory window within which a financier must register the assignment of receivables on the CERSAI portal?

> *A) Within 30 days from the date of the commercial sales agreement.*
> *B) Within a strict 10-day statutory window from the date of disbursal.*
> *C) On the date of usance maturity, only if the buyer defaults.*
> *D) Within 180 days from the date of GSTR-1 tax filings.*

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★ *Correct Option: B*

★ *Rationale & Analysis:*
To prevent the systemic risk of 'double-financing'—where a fraudulent supplier secures multiple loans from different banks using the same invoice—the Factoring Act enforces a strict 10-day statutory window for registering the charge with CERSAI. This creates a public record of the assigned invoice.

Question 3 (Multiple Choice)

Under the RBI's IRACP Directions, 2025, when does an unpaid Bill-to-Bill trade advance legally default to Non-Performing Asset (NPA) status?

A) Immediately upon entering Special Mention Account (SMA-0) status on Day 1 past maturity.
B) Exactly 180 days from the original invoice creation date.
C) When the specific bill remains unpaid for a continuous period of 90 days past its usance maturity date.
D) Only if the corporate Anchor's external credit rating falls below BBB-.

★ *Correct Option: C*

★ *Rationale & Analysis:*
Under RBI's standardized IRACP directions, any fund-based trade credit advance that remains overdue past a strict 90-day window from its contractually agreed usance maturity date must be downgraded to a Non-Performing Asset (NPA).

Question 4 (Multiple Choice)

Which section of the Transfer of Property Act, 1882 governs the legal assignment of trade receivables as 'actionable claims' in India?

A) Section 58(f) governing Equitable Mortgages.
B) Section 130 regulating the Transfer of Actionable Claims.
C) Section 138 governing negotiable check bounces.
D) Section 172 regulating the pledge of movable assets.

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★ *Correct Option: B*

★ *Rationale & Analysis:*
Section 130 of the Transfer of Property Act, 1882 is the statutory pillar for factoring and invoice discounting in India. It establishes that an actionable claim (the right to recover trade debt) can be legally assigned to a third-party financier via a written instrument of transfer.

Question 5 (Multiple Choice)

What is the role of a 'Non-Dispute Covenant' in a tripartite Bill-to-Bill agreement?

A) It permits the supplier to deliver defective goods without any commercial penalty.
B) It contractually obligates the corporate buyer to pay the bank unconditionally, waiving their right to withhold payments due to supplier-level trade disputes.
C) It exempts the bank from filing quarterly and annual disclosures under Ind AS 109.
D) It allows the bank to automatically debit the promoter's personal saving accounts in the event of default.

★ *Correct Option: B*

★ *Rationale & Analysis:*
The Non-Dispute Covenant is the bank's ultimate credit shield. It establishes that once the buyer accepts the invoice, the obligation to pay the bank on maturity is absolute and independent of any underlying trade-level disputes (such as quality defects or short deliveries), isolating the bank from operational risks.

Question 6 (Multiple Choice)

Under Indian Goods and Services Tax (GST) guidelines, how is the tax applied to a Bill-to-Bill transaction?

A) GST at 18% is applied to the entire face value of the invoice advanced by the bank.
B) GST at 18% is applied strictly to service charges (such as processing and arrangement fees), while the core interest/discount component is completely exempt.
C) Bill discounting transactions are entirely exempt from GST, including all processing fees.
D) GST at 28% is levied on the margin reserve held by the financier.

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★ *Correct Option: B*

★ *Rationale & Analysis:*
Under the CGST Act, interest or discount components paid to banks or NBFCs are completely exempt from GST. However, any transactional service fees, such as upfront processing fees, are treated as taxable supplies and attract GST at the standard rate of 18%.

Question 7 (Multiple Choice)

Under the RBI's Digital Lending Directions, what is the maximum permissible cap on Default Loss Guarantee (DLG) arrangements between a Fintech LSP and a commercial bank?

A) Exactly 2.5% of the total loan portfolio value.
B) Capped at a strict 5.0% of the aggregate outstanding credit portfolio.
C) Up to 15.0% of the portfolio, provided the LSP is backed by an A-rated corporate group.
D) Completely uncapped, provided the servers are located in India.

★ *Correct Option: B*

★ *Rationale & Analysis:*
To prevent systemic credit risks and unbacked credit origination, the RBI's Digital Lending Directions cap any risk-sharing or first-loss Default Loss Guarantee (DLG) arrangements between digital Lending Service Providers (LSPs) and banks at a strict 5.0% of the total portfolio value.

Question 8 (Multiple Choice)

What is the statutory threshold turnover above which private corporate buyers are legally mandated to onboard onto the TReDS digital platform?

A) CPSUs and private corporates with an annual turnover exceeding ₹500 Crores.
B) All registered MSMEs with a bank exposure exceeding ₹5 Crores.
C) Only corporate entities with external ratings of AA- or lower.
D) Importers with a raw material procurement cycle exceeding 180 days.

★ *Correct Option: A*

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★ *Rationale & Analysis:*
To unlock credit flow and relieve liquidity pressure on small enterprises, the Ministry of MSME issued a historic directive in 2018, legally mandating that all central public sector undertakings (CPSUs) and private corporates with a turnover exceeding ₹500 Crores onboard onto TReDS.

Question 9 (Descriptive Scenario)

A commercial supplier wishes to secure a Bill-to-Bill credit limit of ₹1 Crore. They propose to discount trade bills raised on three buyers: Buyer X (A-rated, turnover ₹150 Crore), Buyer Y (BBB-rated, turnover ₹40 Crore), and Buyer Z (Unrated startup, turnover ₹15 Crore). Explain how the bank's credit officer will evaluate this proposal.

Answer & Rationale:
The credit officer will evaluate each buyer segment independently based on strict transaction-backed risk criteria:
1. Buyer X Approval: With an A-rating and ₹150 Crore turnover, Buyer X comfortably meets the investment-grade credit profile. The bank will approve a high credit allocation for invoices raised on Buyer X at competitive interest rates (e.g., EBLR + 150 bps).
2. Buyer Y Reconsideration: With a BBB-rating, Buyer Y sits at the absolute borderline of investment-grade credit. The bank may approve a limited credit sub-limit, applying a higher interest rate (e.g., EBLR + 300 bps) and a larger margin haircut (e.g., 20% margin reserve instead of 10%) to safeguard against liquidity risk.
3. Buyer Z Rejection: Because Buyer Z is an unrated startup with a modest turnover of ₹15 Crores, they do not satisfy the baseline risk filters for corporate Anchors. The bank will reject invoices raised on Buyer Z under the program, as they lack the credit profile and ERP structure to support stable, non-recourse Bill-to-Bill financing.

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Question 10 (Analytical Case Question)

Under a Bill-to-Bill RXIL platform transaction, a supplier discounts a ₹50,00,000 (₹50 Lakhs) usance invoice @ 9.0% p.a. simple interest over a usance period of 60 days. The bank advances a 90% loan component, holds a 10% margin reserve, and charges a 0.10% processing fee. Compute the exact Day 2 Net Disbursal, interest expense, and the final Day 60 settlement outcome (apply 365-day basis).

> ★ *Rationale & Analysis:*
> *To solve this mathematical scenario, we apply the following step-by-step credit calculations:*
> *1. Advanced Principal (90%) = ₹50,00,000 * 0.90 = **₹45,00,000**.*
> *2. Margin Reserve Held (10%) = ₹50,00,000 * 0.10 = **₹5,00,000**.*
> *3. Interest Expense = (Advanced Principal * ROI * Usance Days) / 365 = (₹45,00,000 * 9% * 60) / 365 = **₹66,575**.*
> *4. Bank Processing Fee = ₹50,00,000 * 0.10% = **₹5,000**.*
> *5. GST on Processing Fee (18%) = ₹5,000 * 18% = **₹900**.*
> *6. Total Upfront Deductions = Interest (₹66,575) + Fee (₹5,000) + GST (₹900) = **₹72,475**.*
> *7. Net Day 2 Cash Disbursed to Supplier = Advanced Principal (₹45,00,000) - Total Upfront Deductions (₹72,475) = **₹44,27,525**.*
> *8. Final Day 60 Outcome: The corporate buyer pays the bank ₹50,00,000. The bank recovers the advanced principal of ₹45,00,000 and releases the **₹5,00,000 Margin Reserve** back to the supplier, closing the transaction.*

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References & Grounding Index

To ensure the highest standards of financial accuracy and regulatory compliance, this reference manual is strictly grounded in the following official frameworks and guidelines of the Indian financial system:

1. **Negotiable Instruments Act, 1881**: Governing the statutory acceptances, liabilities, and endorsement of bills of exchange in India.
2. **Transfer of Property Act, 1882 (Section 130)**: Governing the legal assignment of trade receivables and actionable claims.
3. **Factoring Regulation Act, 2011 (including the 2021 Amendments)**: Standardizing the legal factoring and invoice discounting framework, and expanding eligible factors.
4. **Reserve Bank of India (RBI) Directions on Trade Receivables and TReDS Platform Operations**: Establishing the regulatory compliance loop for RXIL, M1xchange, and Invoicemart.
5. **RBI Income Recognition, Asset Classification, and Provisioning (IRACP) Norms**: Directing the Special Mention Account (SMA-0/1/2) and NPA countdown timelines for trade advances.
6. **RBI Digital Lending Directions & LSP Guidelines**: Directing the 5% cap on Default Loss Guarantees (DLG) and data sovereignty local server residency mandates.
7. **Indian Accounting Standards (Ind AS 109, Ind AS 7, Ind AS 107)**: Outlining disclosure covenants for corporate buyers and non-recourse supplier finance lines.

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